

September 18, 2026 06:30 AM GMT

Mitsui Kinzoku (5706) | Japan

Growth Scenario for AI-related Copper Foil Intact

WHAT'S CHANGED

Mitsui Kinzoku (5706.T)	From	To
Price Target	¥56,000	¥36,000

AI-related copper foil sales are driving Mitsui Kinzoku's growth. We revise our PT to ¥36,000, but keep our OW rating.

Revise PT to ¥36,000, stay OW: Our ¥36,000 PT uses a SOTP-derived P/E of 19.4x (24.9x for copper foil, 10.9x for other). We formerly applied 36.5x to copper foil, but lower this P/E to reflect weaker valuations for CCL & PCB makers in the copper foil supply chain. The stock currently implies P/E of over 13x F3/27 consensus EPS, well below the TOPIX multiple. Given profit growth centered on AI-related copper foil business, we consider current valuations attractive and see an opportunity to buy.

Our take on stock's post-1Q results correction: The stock fell 29% from Aug 6 to Sep 16, and is down 58% from May 26 peak, probably due to market concerns about a) market share loss amid competition in HVLP and MicroThin, and b) potential capital raise amid the firm's large-scale capex. That said, we expect the HVLP market to expand strongly, and think Mitsui Kinzoku's capacity expansion may not keep pace with market growth relative to aggressive capacity additions by competitors, resulting in modestly lower market share for the firm in F3/28. However, we expect solid profit growth to continue, supported by rising demand. For MicroThin, we believe the company's near-monopoly will be maintained. Besides demand growth for DRAM and optical transceivers, higher sales of FaradFlex for AI servers should also boost earnings. We forecast RP CAGR from AI-related copper foil at +41% over F3/27-29. As a result, we expect AI-related copper foil to drive earnings. The company has potential to generate around ¥20bn in annual FCF from F3/28 onward, and thus we see limited risk of a capital raise.

Revise forecasts for F3/27 onward: We lower our F3/27 RP forecast from ¥120bn to ¥118bn (-13.7% YoY), mainly involving a cut to our Metals forecast that factors in lower precious metal prices. We lower our F3/28 RP forecast from ¥145bn to ¥138bn (+16.9%). In copper foil, we had expected sales volume growth based on productivity improvements and capacity expansion, but revise our sales volume forecast in line with capacity expansion plans announced at 1Q results. In smelting, we lower our forecast to reflect revised assumptions for precious metals prices and differences in raw material terms of trade. Meanwhile, we still look for increasing sales and an improving product mix for AI-related copper foil, including MicroThin, HVLP, and FaradFlex, as a key driver of profit growth. We forecast RP for copper foil business of ¥84bn (+¥16bn YoY), led by higher sales volume and an improved product mix. We lower our F3/29 RP forecast from ¥175bn to ¥165bn (+19.6%). We think the copper foil business will continue benefiting from higher sales volumes and an improving product mix, and forecast RP of around ¥110bn (+¥26bn).

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Mitsui Kinzoku (5706.T, 5706 JT)

Nonferrous Metals & Mining | Japan

Stock Rating	Overweight
Industry View	In-Line
Price target	¥36,000
Up/downside to price target (%)	70
Shr price, close (Sep 17, 2026)	¥21,235
Mkt cap, curr, basic (bn)	¥1,214.8
Div yld (03/27e) (%)	1.2

Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Revenue, net (¥bn)	758.5	904.0	961.0	1,030.8
Operating profit (¥bn)*	130.9	104.0	132.4	159.4
Recurring profit (¥bn)*	136.7	118.0	138.0	165.0
Net income (¥bn)*	91.3	87.8	106.9	127.0
EPS, basic (¥)*	1,595.4	1,534.5	1,868.9	2,220.0
Prior EPS, basic (¥)*	-	1,583.4	1,942.2	2,332.3
EPS (¥)**	1,595.5	1,534.5	1,868.9	2,220.0
Prior EPS (¥)**	-	1,583.4	1,942.2	2,332.3
P/E, basic*	17.6	13.8	11.4	9.6
P/BV, basic	3.9	2.5	2.1	1.8
ROE (%)*	27.5	21.3	22.1	22.1
EV/EBITDA, basic	11.3	8.9	7.1	6.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

* = GAAP or approximated based on GAAP

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Investment summary

F3/27 1Q results recap

1Q recurring profit (RP) of ¥23.5bn (+134.3% YoY) was below consensus of ¥28.8bn but on par with our forecast of ¥24.3bn. MicroThin sales volume rose 30% YoY, while VSP volume rose 29% YoY, making a significant contribution to profit growth. The company raised F3/27 RP guidance from ¥93bn to ¥100bn (-26.9% YoY). While still below consensus of ¥117.1bn, this figure was generally as expected. Engineered materials guidance was revised up, supported by higher copper foil sales volumes & price increases, while the smelting business was revised down due to lower precious metal prices. For VSP, Mitsui Kinzoku trimmed its sales volume forecast, but this change appears attributable to certification timing and should not be a cause for concern. In contrast, the MicroThin sales volume plan was raised from 3,840K m²/month to 4,260K m²/month (+25% YoY), reflecting improving demand expectations from memory & optical transceiver applications. Mitsui Kinzoku announced plans to establish a new production site with capacity of 1,200 mt/month of VSP foil and 4mn m²/month of MicroThin foil from 2031. It also indicated that it is considering building a production system capable of scaling VSP foil capacity to as much as 5,000 mt/month. The projected investment for this expansion is around ¥100bn, excluding the previously announced ¥42bn investment.

The stock has fallen sharply, with the market reacting negatively to the cut to the VSP sales volume forecast and profit guidance missing consensus. However, the larger-than-expected upward revision to FaradFlex and growth in MicroThin sales for optical transceiver applications looks to be positive, and we believe medium-term EPS growth potential from the announced capacity expansion investments hasn't been priced in at all.

Focus points for Mitsui Kinzoku

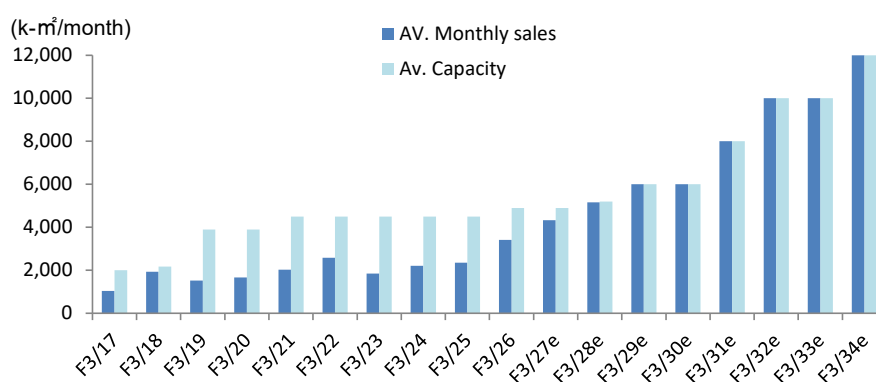
Near-term focus points: Obtaining HVLP certification – While we believe MicroThin is more important than HVLP as an earnings driver, the market appears overly focussed on HVLP. Thus, we think the company announcing the receipt of delayed Part 1 HVLP certification in 2Q could serve as a catalyst for share price recovery. In addition, we expect the company at 2Q results to hike its 2H sales volume forecast for MicroThin and announce additional price hikes.

Medium-term focus points: We focus on MicroThin, HVLP and FaradFlex as medium/long-term growth drivers.

MicroThin outlook: While we expect demand for memory applications to remain strong, we believe demand for AI transceiver applications will be the primary driver of future growth in volumes. The company has already announced plans to expand MicroThin production capacity, from 4.9mn m²/month in F3/26 to 8.0mn m²/month in F3/29. Following this, it will look to continue gradually expanding capacity with the aim of reaching 12.0mn m²/month in F3/34. Thus far, the company's policy has been to consider additional capacity expansion when utilization rates reached roughly 70%. However, we believe growing AI-related demand will mean utilization rates remain high and effectively close to full production even after capacity is expanded.

Mitsui Kinzoku had previously forecast MicroThin sales volumes for AI transceiver applications to grow from 200,000 m²/month in F3/26 to 300,000 m²/month in F3/31, but at 1Q results, it raised F3/31 forecast to 600,000 m²/month. Our Global team projects a 99% CAGR in AI transceiver shipment volumes over CY25-28 ([related report](#)). As speeds increase from 400G to 800G to 1.6T, we expect the number of layers in PCBs to increase (4-8 layers using MSAP method in 800G vs. 6-10 layers using MSAP method in 1.6T), which should serve as a significant tailwind for Mitsui Kinzoku's MicroThin. We also think developments with glass substrates bear watching, though we do not see high risk from this, nor do we expect it to materialize immediately. Glass substrates are essentially substitutes for ABF, but we see a possibility for expansion of functional domains beyond simple substitution through higher-density, larger-area packaging and CPO integration.

Exhibit 1: MicroThin sales volume and capacity



Source: Company data, Morgan Stanley Research, e=Morgan Stanley Research estimates

HVLP4 outlook: Based on [our Taiwan Tech team's bottom-up analysis](#), we assume HVLP4 will be adopted in Nvidia Rubin and successor products, Nvidia LPX racks, AWS Trainium 3/4, the Google TPU v8 family (Sunfish/Zebrafish) and successor products, AMD's Helios rack, Meta's MTIA Iris, as well as 800G (partial) and 1.6T Ethernet switches.

The largest market as at 2026 is AWS Trainium 3, for which we expect demand to exceed 360t/month. In comparison, we forecast combined demand for Nvidia NVL72 + LPX at over 180t/month. However, by 2028, we expect the demand base to expand significantly, to over 760t/month for Nvidia NVL72 + LPX combined, 1,100t/month for the Google TPU family, and 1,500t/month for 800G and 1.6T switches combined, thus elevating these applications to major markets as well. We also expect AMD Helios to add more than 440t/month. While the networking market tends to be overlooked, we believe it will expand to a scale to rival standalone accelerator programs by 2028.

We forecast monthly HVLP4 demand up from 1,028t in 2026 to 3,270t (+218% YoY) in 2027, and to 4,335t (+33%) in 2028. We project a total addressable market (TAM) at \$540mn in 2026, \$1.7bn in 2027, and \$2.3bn in 2028. Meanwhile, we forecast global monthly production capacity to average 1,080t in 2026, 2,495t in 2027, and 3,600t in 2028. From these assumptions, we expect a supply shortage to emerge in the HVLP4 market in 2H 2026, widen to a 31% shortfall in 2027, and persist at 20% shortfall in 2028.

Our view on market concerns: The firm at 1Q results cut its F3/27 HVLP monthly sales volume outlook from 780t to 710t, citing delays in obtaining customer certification for additional production lines in Malaysia. Meanwhile, investors seem worried the firm is

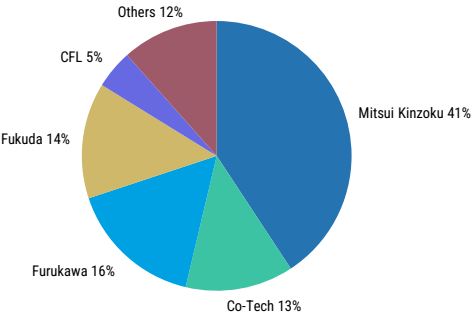
losing market share amid aggressive capacity expansion by competitors and new rival products.

In addition, we believe the firm’s downward revision to its sales volume outlook on this occasion applies to HVLP1-3 and not HVLP4 and above (on which it is focusing). We also attribute delays in obtaining customer certification to timing rather than product quality or productivity issues. Therefore, we believe it is highly likely Mitsui Kinzoku will obtain the relevant certification in future.

For HVLP4, we estimate Mitsui Kinzoku holds top market share (production capacity basis) at 41%. However, as peers aggressively increase production capacity, we believe its share will fall to 33% in 2027, particularly as Co-Tech (covered by Howard Kao) undertakes significant expansion in capacity. Nonetheless, we expect sharp growth for the HVLP4 market as explained above, and forecast the firm’s sales volumes to grow ~70% in 2026-27. Consequently, we forecast RP contribution from the HVLP business to grow ¥5bn YoY.

Exhibit 2: HVLP4 market share in 2026

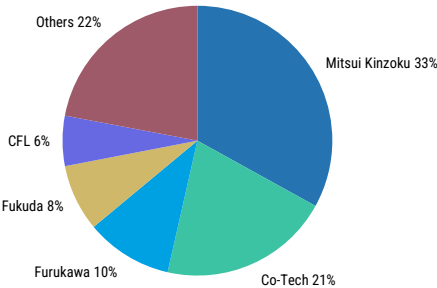
Global HVLP4 copper foil suppliers' market share by capacity (2026E)



Source: Morgan Stanley Research; E=Morgan Stanley Research estimates

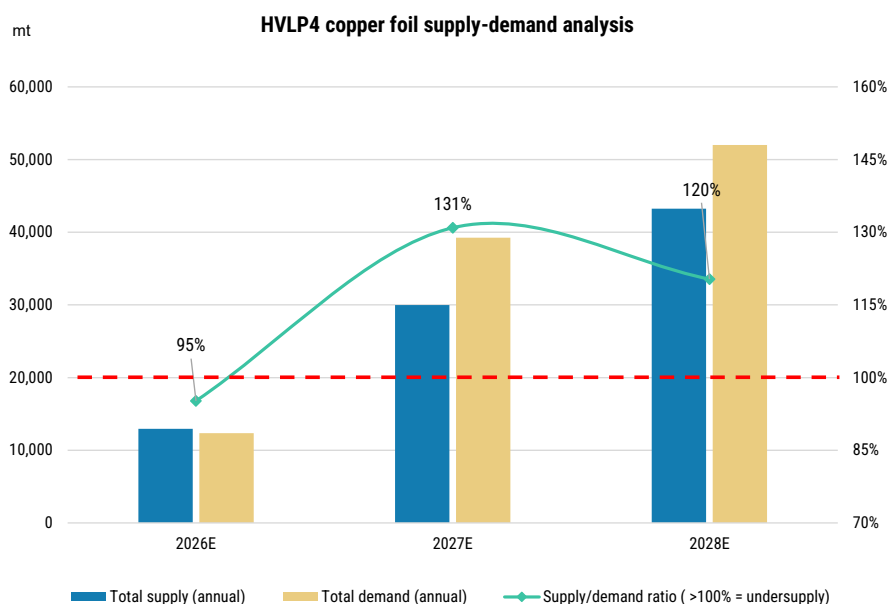
Exhibit 3: HVLP4 market share in 2027

Global HVLP4 copper foil suppliers' market share by capacity (2027E)



Source: Morgan Stanley Research; E=Morgan Stanley Research estimates

Exhibit 4: HVLP supply/demand



Source: Company data, Morgan Stanley Research; E=Morgan Stanley Research estimates

FaradFlex: FaradFlex is an embedded capacitor material consisting of a high-k dielectric resin layer measuring 3-25 μ m sandwiched between copper foil. In high-density AI server and switch substrates, it is laminated as a power/GND layer, suppressing power-supply noise directly beneath the IC. With an ESL of 10~50pH, an order of magnitude lower than an MLCC's 200~500pH, it serves frequencies of 100MHz to several GHz. However, due to its lower capacity density, we think its scope for substitution is limited to 0.01-0.1 μ F high-frequency decoupling applications, and it therefore does not serve as a replacement for existing capacitor technologies such as MLCCs. We believe FaradFlex, which is positioned directly beneath the chip, is specifically for applications requiring high-frequency performance, low ESL, and space saving qualities.

Increased AI server volumes and layer counts drive growth: Our US Research team forecasts that compute capacity in AI data centers will increase from **36GW in 2025 to 145GW in 2028**. In addition, the team forecasts layer count in AI server motherboards to increase from 16-24 currently to 28-32 in 2027 platforms. AI networking switch substrates already commonly use 20-26 layers, and we estimate that 800G and 1.6T switch substrates will exceed 40 layers, while backplanes will reach 70-80 layers. We believe growth in the ratio of switches and backplanes, which can incorporate multiple high-value layer pairs, will drive mix improvement that outstrips expansion of substrate area.

The company plans to expand FaradFlex production capacity by 4.2x, from 85,000 m²/month in F3/27 to 355,000 m²/month in F3/31 (includes capacity at the new Taiwan facility; investment planned at ¥5.0bn). As a result, we forecast FaradFlex's profit contribution to increase from ¥5.0bn in F3/27 to more than ¥20.0bn in F3/31.

Forecast revisions

F3/27: Lower our RP forecast from ¥120bn to ¥118bn (-13.7% YoY). We expect RP to

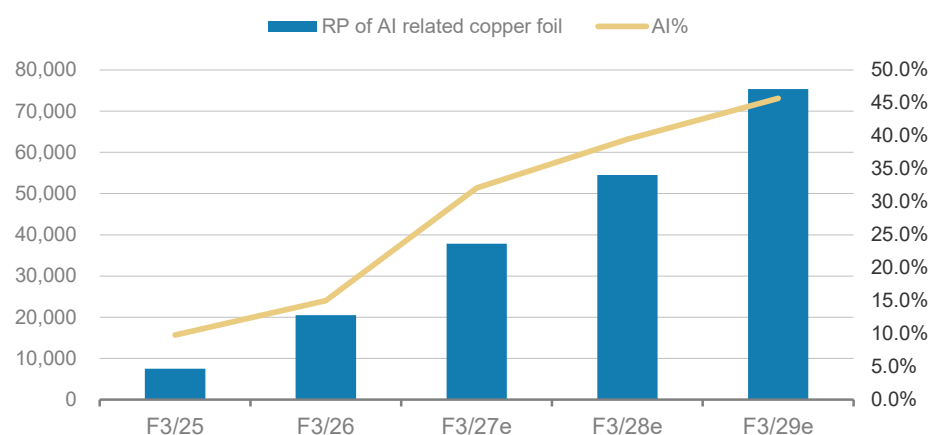
beat guidance for ¥100bn and consensus for ¥113.5bn. We forecast RP in Engineered Materials segment at ¥91.0bn (+37% YoY). Here we have lowered our sales volume assumptions for HVLP foil used in AI servers, but raised our sales volume assumptions for MicroThin and FaradFlex, leaving our overall earnings forecast for Engineered Materials largely unchanged. Meanwhile, in Metals business, we have revised down our forecasts for inventory valuation gains/losses (mainly related to silver & precious metals), by-product income from zinc and lead smelting, and lead raw material spreads. In copper foil business, we forecast RP to increase ¥26bn to ¥68.0bn, driven by price hike effects and higher sales volumes. We assume sales volumes of 710t/month (+29%) for HVLP and ~4,450km²/month (+31%) for MicroThin. Regarding price increases for MicroThin, we factor in a further price hike in 2H, supported in part by rising copper prices, and assume a YoY increase of 21%. In Metals segment, we forecast RP to tumble by -¥43.1bn YoY due to lower inventory valuation gains, a drop in copper TC/RCs (treatment & refining charges) and zinc TCs, higher energy costs, lead raw material mix variance, free metal peeling in copper smelting, and other factors.

F3/28: Lower our RP forecast from ¥145bn to ¥138bn (+16.9% YoY). We expect consensus of ¥132.5bn to be beaten. Compared with our previous forecast, we now factor in higher earnings from increased sales of FaradFlex (+¥3bn YoY) in the Engineered Materials business, but revise our forecast downward to reflect lower sales volumes for MicroThin and HVLP (our previous forecast had assumed further productivity improvements and capacity expansion). For the copper foil business, we forecast RP of approximately ¥84bn, implying YoY profit growth of ¥16bn, driven by higher sales volumes and an improved product mix. Our assumptions are monthly sales volumes of 900t for HVLP (+27% YoY) and approximately 5,100k for MicroThin (+15% YoY).

F3/29: Lower our forecast from ¥175bn to ¥165bn (+19.6% YoY). We expect this figure to exceed consensus of ¥145bn. For the copper foil business, we forecast RP of ~¥110bn, implying YoY profit growth of ¥26bn, driven by higher sales volumes and an improved product mix. Our assumptions are monthly sales volumes of 1,085t for HVLP (+21% YoY) and approximately 6,000k sqm for MicroThin (+9% YoY). Our previous forecast had assumed increased sales volumes driven by productivity improvements and capacity expansion, but we have revised our sales volume assumptions to align with the company's expansion plan announced at 1Q results.

AI-related copper foil driving growth

We view VSP (HVLP) foil and MicroThin for DRAM (DDR5) as AI-related copper foil products. We estimate their RP contribution at ¥20bn (15% of total RP) in F3/26, ¥38bn (32%) in F3/27, ¥55bn (39%) in F3/28, and ¥75bn (46%) in F3/29, implying CAGR of +41% in F3/27–29. We expect these to be the key drivers of earnings growth from next year.

Exhibit 5: RP from copper foil for AI uses (mn yen)

Source: Morgan Stanley Research, e=Morgan Stanley Research estimates

PT change: We apply SOTP-based 19.4x P/E to F3/28e EPS

We set our price target at ¥36,000 (P/E 19.4x F3/28e EPS of ¥1,869). This equates to P/B of 3.6x. Our prior PT was ¥56,000 (P/E 29.0x F3/28e EPS of ¥1,942).

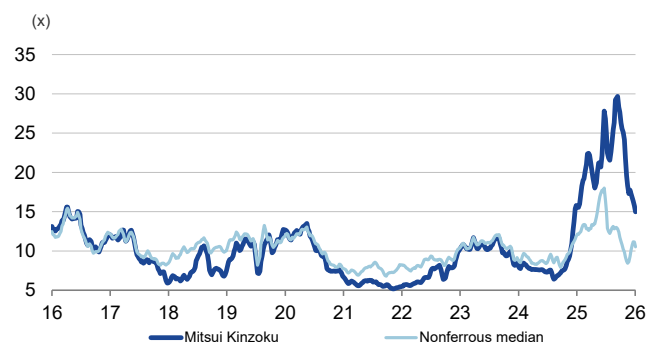
We allocate our EPS forecasts to each business according to their respective RP weightings: 61% to copper foil and 39% to others. The firm's copper foil business comprises MicroThin and general-purpose foils including VSP foil. Referencing other copper foil makers and CCL/PCB makers, we assign P/E's of **24.9x to copper foil (previously 36.5x)** and **10.9x to other businesses (15.5x)**, for a **composite sum-of-the-parts multiple of 19.4x (29.0x) for the stock overall**. The new multiple factors in a decline in valuations at peers since our last report.

We expect AI-related products (HVLP foil + MicroThin for DDR5) to generate about 65% of copper foil business RP in F3/28. For F3/27-29 our RP CAGR forecast of +41% in copper foil for AI use puts Mitsui Kinzoku in an elevated position among firms in the supply chain for copper foil for high-frequency substrates. For Mitsui Kinzoku's AI-related copper foil business, we thus use P/E at a 15% premium to average P/E for copper clad laminate makers and PCB makers (25x) in the same supply chain, or 28.7x. Using an 18.0x P/E for the remaining 35% of copper foil business, we reach target P/E of 24.9x for copper foil overall.

Exhibit 6: Valuations & average annual EBIT growth rates: Supply chain for copper foil for high-frequency substrates

Company	Share Price	Mkt Cap	P/E(x)			P/B(x)			ROE(%)			EBIT CAGR (%)		EV/EBITDA(x)			Div yield (%)
			F2026	F2027	F2028	F2026	F2027	F2028	F2026	F2027	F2028	FY22-25	FY26-28	F2026	F2027	F2028	
Furukawa Electric	¥3,812.0	2,693.8	23.4	18.2	14.5	5.2	4.1	3.3	22.1	22.6	22.8	49.3	19.8	16.9	12.4	10.2	0.6
Mitsui Kinzoku	¥22,760.0	1,306.9	15.0	13.9	11.9	2.7	2.4	2.1	18.1	17.0	17.4	90.9	7.8	9.4	8.5	7.1	1.3
Anfui Tongguan Copper Foil	CNY 114.6	2,196.6	168.5	114.6	80.7	-	-	-	-	-	-	-33.7	29.4	106.3	63.8	41.4	0.3
Lotte Energy Materials	KRW 38,900.0	230.8	-	102.8	34.9	1.3	1.2	1.2	3.0	1.2	3.4	-	-	49.4	15.8	11.4	0.1
Co-Tech Development Corporation	TWD 510.00	605.6	51.1	22.4	13.7	13.4	10.0	-	26.3	44.7	-	4.5	53.9	39.7	17.2	11.1	0.6
Copper foil			64.5	54.4	31.1	5.6	4.4	2.2	15.9	21.4	14.5	27.7	27.7	44.3	23.6	16.3	0.6
Elite Material	TWD 5,085.00	8,860.8	44.2	23.0	14.7	22.8	13.4	8.5	51.6	58.4	57.8	44.0	44.8	32.7	17.4	10.8	1.1
Taiwan Union Technology	TWD 1,415.00	2,060.7	38.9	20.0	11.2	15.5	10.1	6.5	39.9	50.2	57.8	40.8	52.1	27.7	13.8	8.3	1.3
Doosan Electronics	KRW 1,387,000.0	2,793.5	50.6	35.8	28.1	12.5	9.4	7.7	24.6	26.2	27.4	31.8	20.2	16.0	12.4	10.3	0.3
Shengyi Technology	CNY 154.5	8,678.9	51.2	32.6	22.5	16.4	11.9	9.0	32.0	37.2	40.1	32.2	31.0	36.7	24.1	16.9	1.3
ITEQ Corporation	TWD 550.00	972.5	35.9	18.8	16.1	8.1	6.5	5.0	22.5	34.8	31.3	1.3	30.7	20.8	11.9	9.4	1.5
CCL			44.1	26.0	18.5	15.0	10.3	7.3	34.1	41.4	42.9	30.0	35.7	26.8	15.9	11.2	1.1
Nan Ya PCB	TWD 1,105.00	3,472.3	64.0	25.1	13.4	13.0	9.1	6.4	20.3	36.2	47.9	-54.8	68.1	33.1	16.0	9.2	0.8
Ibiden	¥18,950.0	5,373.7	60.5	40.7	32.0	8.5	7.3	6.0	14.1	17.9	18.8	8.6	23.0	24.2	17.7	13.6	0.2
FC-BGA			62.3	32.9	22.7	10.8	8.2	6.2	17.2	27.0	33.4	-	23.1	45.5	28.6	16.8	0.5
Victory Giant Technology	CNY 230.4	5,040.1	28.4	14.2	10.4	5.3	4.0	3.0	18.6	28.2	29.2	73.4	40.5	14.1	7.4	5.3	0.6
Unimicron	TWD 961.00	7,670.4	47.6	24.8	15.9	11.6	8.6	5.9	24.3	34.8	37.5	-37.2	55.2	28.0	14.1	9.4	0.8
TTM Technologies	US\$114.00	1,862.9	23.8	16.3	14.5	5.5	4.2	3.4	23.1	25.7	23.2	4.2	13.9	16.3	11.7	11.2	-
AT&S	AUD 158.20	1,100.0	18.7	12.6	8.8	4.3	3.0	2.3	23.2	23.9	26.8	-28.3	20.5	8.3	6.0	4.9	0.1
PCB			29.6	17.0	12.4	6.7	5.0	3.7	22.3	28.1	29.2	3.0	32.5	16.7	9.8	7.7	0.5

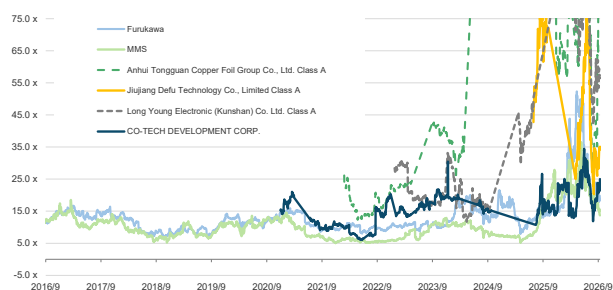
Analyst Coverage: Ibiden (Shoji Sato); Co-Tech, Unimicron (Howard Kao); Lotte Energy Materials Ryan Kim). Source: FactSet, Morgan Stanley Research. Estimates from FactSet.

Exhibit 7: Mitsui Kinzoku P/E

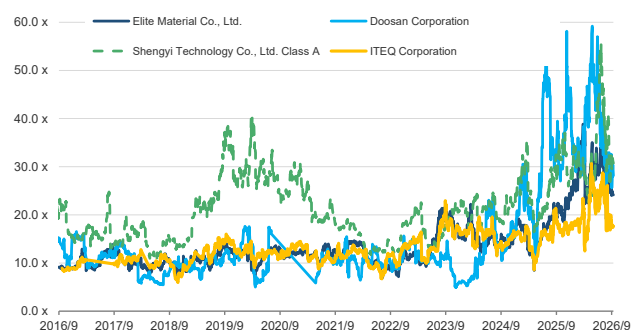
Source: FactSet, Morgan Stanley Research

Exhibit 8: Mitsui Kinzoku P/B

Source: FactSet, Morgan Stanley Research

Exhibit 9: Copper foil peer P/Es

Source: FactSet, Morgan Stanley Research

Exhibit 10: CCL peer P/Es

Source: FactSet, Morgan Stanley Research

Exhibit 11: Earnings Summary

	F3/25	F3/26					F3/27										F3/28			F3/29			
	Total	1Q	2Q	3Q	4Q	Total	1Q	2Q Ce Aug 26	1H Ce May 26	1H Ce Aug 26	2H Ce May 26	2H Ce Aug 26	Total Ce May 26	Total Ce Aug 26	Total Con	Total e Old	Total e	Total Con	Total e Old	Total e	Total Con	Total e Old	Total e
(billion yen, yen/share)																							
Sales	712.3	169.0	195.3	177.9	216.3	758.5	201.6	218.4	410.0	420.0	420.0	430.0	830.0	850.0	840.7	929.6	904.0	868.0	981.2	961.0	900.0	1,071.9	1,030.8
Operating Profit	74.7	11.4	28.3	32.0	59.2	130.9	21.0	24.0	49.0	45.0	42.0	49.0	91.0	94.0	110.9	118.5	104.0	129.0	145.2	132.4	142.0	175.7	159.4
Recurring Profit	76.4	10.0	29.1	35.4	62.2	136.7	23.5	25.0	50.0	48.5	43.0	51.5	93.0	100.0	113.5	120.0	118.0	132.5	145.0	138.0	145.0	175.0	165.0
Net Profit	64.7	-6.0	25.0	30.0	42.2	91.3	16.8	18.2	37.0	35.0	38.0	45.0	75.0	80.0	86.5	90.6	87.8	97.4	111.1	106.9	106.0	133.4	127.0
EPS	1,131.0	-104.4	437.5	524.5	737.9	1,595.5	294.1	317.7	646.8	611.8	664.3	786.5	1,311.1	1,398.3	1,512.0	1,583.4	1,534.5	1,667.6	1,942.2	1,868.9	1,852.7	2,332.3	2,220.0
BPS	5,798.1					7,202.1									8,402.0	8,514.9	8,466.1	9,710.8	10,169.8	10,047.8	11,101.2	12,155.2	11,921.0
<YoY change>																							
Sales	10.2%	-0.5%	9.5%	0.1%	16.0%	6.5%	19.3%	11.8%	12.5%	15.3%	6.5%	9.1%	9.4%	12.1%	10.8%	22.6%	19.2%	3.2%	5.6%	6.3%	3.7%	9.2%	7.3%
Operating Profit	135.8%	-51.3%	84.8%	83.7%	219.5%	75.1%	84.1%	-15.4%	23.2%	13.2%	-53.9%	-46.2%	-30.5%	-28.2%	-15.3%	-9.5%	-20.6%	16.4%	22.5%	27.3%	10.1%	21.0%	20.4%
Recurring Profit	71.7%	-61.7%	138.8%	70.7%	259.7%	79.0%	134.3%	-14.1%	27.7%	23.9%	-55.9%	-47.2%	-32.0%	-26.9%	-17.0%	-12.2%	-13.7%	16.7%	20.8%	16.9%	9.4%	20.7%	19.6%
Net Profit	148.8%	-	67.6%	98.7%	237.0%	41.1%	-	-27.4%	94.2%	83.7%	-47.4%	-37.7%	-17.8%	-12.3%	-5.2%	-0.8%	-3.8%	12.6%	22.7%	21.8%	8.8%	20.1%	18.8%
<Sales by Segment>																							
Engineered Materials	153.5	71.3	79.2	83.1	94.8	328.4	100.6	107.4	190.0	208.0	189.0	203.0	379.0	411.0		447.3	428.7		514.7	474.7		605.3	544.5
Metals	294.8	74.0	87.2	93.8	121.7	376.7	98.3	111.7	213.0	210.0	221.0	220.0	434.0	430.0		467.2	466.4		451.6	475.2		451.6	475.2
Mobility	204.9																						
Corporate	123.1	53.7	58.3	33.9	41.8	187.7	38.2	33.8	66.0	72.0	66.0	66.0	132.0	138.0		130.0	138.0		130.0	140.0		130.0	140.0
Adjustment	-63.9	-30.0	-29.5	-32.9	-41.9	-134.3	-35.4	-34.6	-59.0	-70.0	-56.0	-59.0	-115.0	-129.0		-115.0	-129.0		-115.0	-129.0		-115.0	-129.0
Total	712.3	169.0	195.3	177.9	216.3	758.5	201.6	218.4	410.0	420.0	420.0	430.0	830.0	850.0	840.7	929.6	904.0	868.0	981.2	961.0	900.0	1,071.9	1,030.8
<RP by Segment>																							
Engineered Materials	25.2	10.5	16.0	18.4	21.6	66.5	18.2	20.8	34.5	39.0	32.5	39.0	67.0	78.0		90.6	91.0		118.5	107.9		148.5	134.3
Metals	44.5	3.3	15.1	20.2	36.5	75.1	6.8	6.2	22.5	13.0	15.0	13.5	37.5	26.5		41.0	32.0		38.0	35.5		38.0	35.5
Mobility	14.7																						
Corporate	2.9	-0.5	-0.2	1.2	2.7	3.1	0.6	0.4	-0.2	1.0	1.0	1.3	0.8	2.3		0.8	2.3		0.8	2.3		0.8	2.3
Enterprise creation	-6.4	-1.1	-2.7	-1.4	-1.6	-6.8	-2.1	-2.8	-4.0	-4.9	-3.5	-2.6	-7.5	-7.5		-7.5	-7.5		-7.5	-7.5		-7.5	-7.5
Adjustment	-4.5	-2.2	1.0	-3.0	3.0	-1.2	0.0	0.4	-2.8	0.4	-2.0	0.3	-4.8	0.7		-4.8	0.2		-4.8	-0.2		-4.8	0.4
Total	76.4	10.0	29.1	35.4	62.2	136.7	23.5	25.0	50.0	48.5	43.0	51.5	93.0	100.0	113.5	120.0	118.0	132.5	145.0	138.0	145.0	175.0	165.0
<Assumption>																							
Zinc ((\$/t)	2,874	2,641	2,825	3,165	3,243	2,968	3,463	3,400	3,200	3,432	3,200	3,400	3,200	3,416		3,400	3,716		3,150	3,700		3,150	3,700
Zinc ((\$/t) Actual	2,878	2,693	2,967	3,140	3,207	2,971	3,353	3,308	3,166	3,331	3,167	3,308	3,167	3,319		3,400	3,688		3,150	3,700		3,150	3,700
Copper ((c/lb)	425	432	444	504	583	491	604	612	590	608	590	612	590	610		600	627		600	600		600	600
Lead ((\$/t)	2,046	1,947	1,965	1,971	1,931	1,953	1,955	1,900	1,900	1,927	1,900	1,900	1,900	1,914		1,950	1,950		1,950	1,950		1,950	1,950
FOREX (yen/\$) Actual	150.4	144.9	147.1	152.6	154.8	149.7	157.6	158.0	153.9	157.8	153.9	158.2	153.9	158.0		155.0	156.9		150.0	150.0		150.0	150.0

Source: Company materials, FactSet, Morgan Stanley Research. Ce = company estimates; Con = consensus forecasts (FactSet); e=Morgan Stanley Research estimates.

Risk Reward – Mitsui Kinzoku (5706.T)

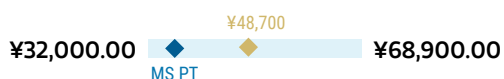
Electrolytic copper foil expansion; HRDP, all solid-state batteries in focus

PRICE TARGET ¥36,000

F3/28e EPS ¥1,869 x P/E 19.4x

MicroThin and VSP copper foil for AI servers drive earnings. Referencing other copper foil makers and CCL/PCB makers, we assign P/E multiples of 24.9x to copper foil and 10.9x to the other businesses (same level as the current average for nonferrous smelting stocks), resulting in a SOTP P/E of 19.4x for the company overall. The implied P/B is approximately 3.6x.

Consensus Price Target Distribution



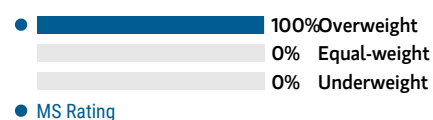
Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

OVERWEIGHT THESIS

- Our rating from an industry-relative perspective is OW.
- Mitsui Kinzoku has a very high market share for ultrathin electrolytic copper foil, with technology that other companies cannot match.
- Expanding sales of ultrathin electrolytic copper foil.
- Expanding sales of electrolytic copper foil for AI server applications.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

BULL CASE

¥52,000

F3/28e EPS ¥2,336 x P/E 22.3x

In a scenario where the company's copper foil business grows beyond expectations, we assume upside of ¥36.0bn to our base case RP estimate.

We apply a P/E multiple of 27.4x to the copper foil business and 10.9x to other businesses, resulting in a blended P/E of 22.3x for the company overall.

BASE CASE

¥36,000

F3/28e EPS ¥1,869 x P/E 19.4x

MicroThin and VSP copper foil for AI servers drive earnings.

Referencing other copper foil makers and CCL/PCB makers, we assign P/E multiples of 24.9x to copper foil and 10.9x to the other businesses (same level as the current average for nonferrous smelting stocks), resulting in SOTP P/E of 19.4x for the company overall. The implied P/B multiple is approximately 3.6x.

BEAR CASE

¥18,000

F3/28e EPS ¥1,402 x P/E 12.9x

In a scenario where growth in the company's copper foil business slows, we assume downside of ¥30.0bn to our base case RP estimate.

We apply a P/E multiple of 16.9x to the copper foil business and 9.8x to other businesses, resulting in a blended P/E of 12.9x for the company overall.

Risk Reward – Mitsui Kinzoku (5706.T)

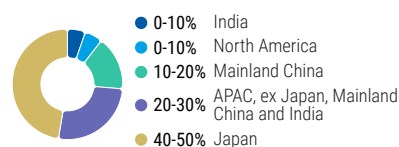
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
Micro Thin (km ² /m)	3,410.0	4,465.3	5,118.9	6,005.7
Zinc (\$/t)	2,968.0	3,715.8	3,700.0	3,700.0
Copper (c/lb) (¥, mn)	491	627	600	600

INVESTMENT DRIVERS

- Electrolytic copper foil sales expansion
- Mobility business recovery
- Market launch of HRDP and solid electrolytes for all solid-state batteries

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Zinc price rises by more than expected
- Stronger-than-expected sales of electrolytic copper foil
- Commercial production of HRDP and solid electrolytes for all solid-state batteries begins earlier than expected

RISKS TO DOWNSIDE

- Sales of the electrolytic copper foil decrease due to greater than expected deterioration in economic conditions
- Zinc price falls by more than expected

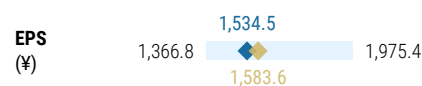
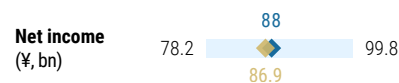
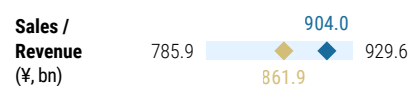
OWNERSHIP POSITIONING

Inst. Owners, % Active 72.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Financial Statements

Exhibit 12: Financial Statements (1)

<Profit & Loss (Y bn)>	F23 F3/24	F24 F3/25	F25 F3/26	F26e F3/27e	F27e F3/28e	F28e F3/29e	Old F26e Old F3/27e	Old F27e Old F3/28e	Old F28e Old F3/29e
Sales	646.7	712.3	758.5	904.0	961.0	1,030.8	929.6	981.2	1,071.9
<Sales Breakdown by segment>									
Engineered Materials	124.1	153.5	328.4	428.7	474.7	544.5	447.3	514.7	605.3
Metals	246.8	294.8	376.7	466.4	475.2	475.2	467.2	451.6	451.6
Mobility	218.4	204.9	-	-	-	-	-	-	-
Corporate	113.4	123.1	187.7	138.0	140.0	140.0	130.0	130.0	130.0
Automobile equipment	-	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-	-
adjustment	-55.9	-63.9	-134.3	-129.0	-129.0	-129.0	-115.0	-115.0	-115.0
Cost of Sales	551.3	562.1	555.9	723.0	746.6	786.4	734.5	754.8	812.5
% of Sales	85.2%	78.9%	73.3%	80.0%	77.7%	76.3%	79.0%	76.9%	75.8%
SG&A Expense	63.7	75.5	71.7	77.0	82.0	85.0	77.0	82.0	85.0
% of Sales	9.9%	10.6%	9.5%	8.5%	8.5%	8.2%	8.3%	8.4%	7.9%
Operating Profit	31.7	74.7	130.9	104.0	132.4	159.4	118.1	144.4	174.4
% of Sales	4.9%	10.5%	17.3%	11.5%	13.8%	15.5%	12.7%	14.7%	16.3%
Financial Balance	5.3	-0.9	-0.5	3.1	3.9	3.9	3.7	3.8	3.9
Equity in Earnings	3.2	4.6	7.4	10.0	8.5	8.5	5.0	3.6	3.6
Other Income	1.4	0.8	0.8	0.1	-6.8	-6.8	-6.8	-6.8	-6.8
Recurring Profit	44.5	76.4	136.7	118.0	138.0	165.0	120.0	145.0	175.0
% of Sales	6.9%	10.7%	18.0%	13.1%	14.4%	16.0%	12.9%	14.8%	16.3%
<RP by Segment>									
Engineered Materials	16.4	25.2	66.5	91.0	107.9	134.3	90.6	118.5	148.5
Metals	16.1	44.5	75.1	32.0	35.5	35.5	41.0	38.0	38.0
Mobility	11.3	14.7	-	-	-	-	-	-	-
Corporate	3.2	2.9	3.1	2.3	2.3	2.3	0.8	0.8	0.8
Enterprise creation	-6.5	-6.4	-6.8	-7.5	-7.5	-7.5	-7.5	-7.5	-7.5
adjustment	4.0	-4.5	-1.2	0.2	-0.2	0.4	-4.8	-4.8	-4.8
Total	44.5	76.4	136.7	118.0	138.0	165.0	120.1	145.0	175.0
Extraordinary Profit	1.3	11.6	4.5	1.1	3.0	3.0	-	3.0	3.0
Extraordinary Loss	-7.3	-7.3	-23.7	-	-	-	-	-	-
Pretax Income	38.5	80.8	117.5	117.3	141.0	168.0	120.0	148.0	178.0
Corp./Residence Tax	-11.7	-13.3	-23.2	-27.4	-30.5	-36.7	-26.5	-33.2	-40.1
Noncontrolling interests	-0.9	-2.8	-3.0	-3.0	-3.6	-4.3	-3.0	-3.7	-4.5
Net Income	26.0	64.7	91.3	87.8	106.9	127.0	90.6	111.1	133.4
% of Sales	4.0%	9.1%	12.0%	9.7%	11.1%	12.3%	9.7%	11.3%	12.4%
EBITDA	81.4	112.2	168.7	152.0	175.0	205.0	154.1	182.0	215.0
<Per Share Data (Y)>									
EPS	454.7	1,131.0	1,595.5	1,534.5	1,868.9	2,220.0	1,583.4	1,942.2	2,332.3
CEPS	1,056	1,712	2,116	2,111	2,498	2,902	2,160	2,572	3,014
BPS	4,872	5,798	7,202	8,466	10,048	11,921	8,515	10,170	12,155
EBITDA/share	1,425	1,963	2,948	2,657	3,059	3,583	2,693	3,182	3,759
DPS	140	180	245	250	290	350	250	290	350
DOE	3.2%	3.7%	4.2%	3.5%	3.4%	3.5%	3.5%	3.4%	3.4%
Dividend Payout (%)	30.8%	15.9%	15.4%	16.3%	15.5%	15.8%	15.8%	14.9%	15.0%

Source: Company data, Morgan Stanley Research. e=Morgan Stanley Research estimates.

Exhibit 13: Financial Statements (2)

<Balance Sheet (Y bn)>	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	Old F3/27e	Old F3/28e	Old F3/29e
Cash and Deposit	32.5	44.5	58.3	32.7	35.5	39.2	32.8	45.4	49.0
Total Current Assets	344.6	370.9	423.5	482.7	546.5	629.4	491.2	563.2	658.5
PP&E	199.0	191.2	178.0	201.0	223.0	244.0	201.0	223.0	244.0
Total Fixed Assets	296.0	287.1	274.0	307.0	337.5	366.9	302.0	327.6	352.2
Total Assets	640.6	657.9	697.5	789.6	884.0	996.4	793.2	890.8	1,010.7
Short-term Borrowings	90.8	75.2	46.2	35.9	25.7	15.5	35.9	25.7	15.5
Total Current Liabilities	204.5	189.5	172.3	179.4	171.8	165.6	180.6	172.6	168.3
Long-term Debts	103.1	83.3	68.0	79.1	87.6	95.3	78.6	86.5	93.3
Total Fixed Liabilities	150.1	127.6	104.3	115.4	123.9	131.7	115.0	122.8	129.6
Total Liabilities	354.6	317.1	276.6	294.8	295.7	297.3	295.5	295.4	297.9
Shareholders' Equity	256.2	311.9	392.3	463.8	554.1	661.1	466.6	561.1	674.5
Translation adjustments	22.4	19.6	19.7	19.7	19.7	19.7	19.7	19.7	19.7
Noncontrolling interests	7.5	9.3	8.9	11.4	14.5	18.3	11.4	14.6	18.6
Total Net Assets	286.0	340.9	420.9	494.9	588.3	699.1	497.7	595.4	712.8
Liabilities and Net Assets	640.6	657.9	697.5	789.6	884.0	996.4	793.2	890.8	1,010.7
<Key Metrics>	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	Old F3/27e	Old F3/28e	Old F3/29e
Int.-bearing Debt (Y bn)	193.8	158.6	114.1	115.0	113.3	110.8	114.6	112.2	108.8
Net Int.-bearing Debt (Y bn)	161.3	114.1	55.9	82.3	77.8	71.6	81.8	66.8	59.7
Gross D/E Ratio (x)	0.6	0.3	0.1	0.2	0.1	0.1	0.2	0.1	0.1
Net D/E Ratio (x)	0.6	0.3	0.1	0.2	0.1	0.1	0.2	0.1	0.1
Interest-coverage (x)	38.8	15.4	30.5	57.9	32.3	35.7	57.9	32.3	35.7
Total Assets Turnover (x)	1.0	1.1	1.1	1.1	1.1	1.0	1.2	1.1	1.1
Shareholders' Equity Ratio (%)	43.5%	50.4%	59.1%	61.2%	64.9%	68.3%	61.3%	65.2%	68.7%
ROA (OP/Total Assets) (%)	2.5%	5.8%	9.7%	7.0%	7.9%	8.5%	7.9%	8.6%	9.2%
ROE (%)	10.4%	22.8%	25.9%	20.5%	21.0%	20.9%	21.1%	21.6%	21.6%
Capital investment (Y bn)	40.0	31.4	36.5	56.0	58.0	60.0	56.0	58.0	60.0
Depreciation (Y bn)	34.4	33.2	29.8	33.0	36.0	39.0	33.0	36.0	39.0
<Cash Flow (Y bn)>	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	Old F3/27e	Old F3/28e	Old F3/29e
Operating Cash Flow	75.3	76.7	87.5	45.6	79.6	86.7	46.9	90.1	87.6
Investing Cash Flow	-34.9	-20.9	-24.5	-57.5	-60.3	-63.4	-58.3	-60.3	-63.4
Free Cash Flow	40.4	55.8	63.1	-11.9	19.3	23.3	-11.4	29.8	24.1
Financial CF	-36.6	-43.6	-53.2	-13.7	-16.5	-19.5	-14.1	-17.2	-20.5
Int.-bearing Debt	-11.2	-31.8	-24.0	0.8	-1.7	-2.5	0.4	-2.4	-3.4
Dividend Payment	-12.0	-9.1	-10.9	-14.0	-14.3	-16.6	-14.0	-14.3	-16.6
Buyback	-	-	-	-	-	-	-	-	-
Cash at the EoY	32.5	44.5	58.3	32.7	35.5	39.2	32.8	45.4	49.0

Source: Company data, Morgan Stanley Research. e=Morgan Stanley Research estimates.

Exhibit 14: Financial Statements (3)

	F23	F24	F25	F26e	F27e	F28e	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/25	F3/26	F3/27e	F3/28e	F3/29e
<Profit & Loss (Y bn)>	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
Sales	646.7	712.3	758.5	904.0	961.0	1,030.8	169.9	178.3	177.8	186.5	169.0	195.3	177.9	216.3	201.6	225.9	239.2	237.3	231.0	236.5	247.3	246.2	244.4	255.9	265.5	265.0
<Sales Breakdown by segment>																										
Engineered Materials	124.1	153.5	328.4	428.7	474.7	544.5	38.0	40.1	38.2	37.2	71.3	79.2	83.1	94.8	100.6	106.7	112.1	109.3	113.0	119.2	122.2	120.3	126.4	138.6	140.4	139.1
Metals	246.8	294.8	376.7	466.4	475.2	475.2	65.5	75.1	72.5	70.9	74.0	87.2	93.8	101.4	98.3	117.4	124.9	125.8	115.2	114.5	122.3	123.2	115.2	114.5	122.3	123.2
Mobility	218.4	204.9	-	-	-	-	50.2	51.3	52.5	50.2	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate	113.4	123.1	187.7	138.0	140.0	140.0	29.0	30.1	30.0	33.9	53.7	58.3	33.9	41.8	38.2	30.8	34.5	34.5	35.0	35.0	35.0	35.0	35.0	35.0	35.0	35.0
Automobile equipment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
adjustment	-55.9	-63.9	-134.3	-129.0	-129.0	-129.0	-12.9	-18.3	-15.4	-15.3	-30.0	-29.5	-32.9	-21.7	-35.4	-29.1	-32.3	-32.3	-32.3	-32.3	-32.3	-32.3	-32.3	-32.3	-32.3	-32.3
Cost of Sales	551.3	562.1	555.9	723.0	746.6	786.4	128.1	144.7	141.1	148.2	138.6	145.8	129.4	142.0	159.5	181.1	192.2	190.2	180.8	181.6	192.3	192.0	187.1	193.6	202.4	203.3
% of Sales	85.2%	78.9%	73.3%	80.0%	77.7%	76.3%	75.4%	81.2%	79.4%	79.5%	82.0%	74.7%	72.8%	65.7%	79.1%	80.2%	80.4%	80.2%	78.3%	76.8%	77.7%	78.0%	76.5%	75.6%	76.2%	76.7%
SG&A Expense	63.7	75.5	71.7	77.0	82.0	85.0	18.3	18.2	19.3	19.7	19.0	21.1	16.5	15.1	21.1	17.4	19.3	19.3	20.5	20.5	20.5	20.5	21.3	21.3	21.3	21.3
% of Sales	9.9%	10.6%	9.5%	8.5%	8.5%	8.2%	10.8%	10.2%	10.8%	10.6%	11.2%	10.8%	9.3%	7.0%	10.4%	7.7%	8.0%	8.1%	8.9%	8.7%	8.3%	8.3%	8.7%	8.3%	8.0%	8.0%
Operating Profit	31.7	74.7	130.9	104.0	132.4	159.4	23.5	15.3	17.4	18.5	11.4	28.4	31.9	59.2	21.0	27.4	27.7	27.8	29.7	34.4	34.5	33.7	36.1	41.1	41.8	40.4
% of Sales	4.9%	10.5%	17.3%	11.5%	13.8%	15.5%	13.8%	8.6%	9.8%	9.9%	6.8%	14.5%	17.9%	27.4%	10.4%	12.1%	11.6%	11.7%	12.9%	14.6%	14.0%	13.7%	14.8%	16.0%	15.7%	15.3%
Financial Balance	5.3	-0.9	-0.5	3.1	3.9	3.9	-0.1	-0.5	-0.4	0.0	0.0	-0.4	-0.3	0.2	-0.0	1.2	0.9	1.0	0.9	0.9	0.9	1.1	0.9	0.9	0.9	1.1
Equity in Earnings	3.2	4.6	7.4	10.0	8.5	8.5	1.5	1.3	0.9	0.9	0.8	0.6	3.0	3.2	2.8	2.8	2.1	2.1	2.1	2.1	2.1	2.1	2.1	2.1	2.1	2.1
Other Income	1.4	0.8	0.8	0.1	-6.8	-6.8	0.1	0.3	0.4	-1.2	-2.2	2.4	0.1	-1.2	0.0	0.0	0.0	0.1	-2.3	-2.3	-2.3	0.1	-2.3	-2.3	-2.3	0.1
Recurring Profit	44.5	76.4	136.7	118.0	138.0	165.0	26.2	12.2	20.7	17.3	10.0	29.1	35.4	45.5	23.5	32.3	30.8	31.3	30.5	35.2	35.3	37.1	36.9	41.8	42.6	43.7
% of Sales	6.9%	10.7%	18.0%	13.1%	14.4%	16.0%	15.4%	6.8%	11.7%	9.3%	5.9%	14.9%	19.9%	21.0%	11.6%	14.3%	12.9%	13.2%	13.2%	14.9%	14.3%	15.1%	15.1%	16.3%	16.0%	16.5%
<RP by Segment>																										
Engineered Materials	16.4	25.2	66.5	91.0	107.9	134.3	7.4	5.0	7.6	5.2	10.5	16.0	18.4	21.7	18.2	23.5	25.4	23.8	25.2	27.0	28.4	27.2	30.8	34.5	35.3	33.6
Metals	16.1	44.5	75.1	32.0	35.5	35.5	19.4	4.8	10.1	10.0	3.3	15.1	20.2	36.5	6.8	9.9	6.6	8.7	7.2	10.1	7.7	10.6	7.8	9.1	7.9	10.7
Mobility	11.3	14.7	-	-	-	-	3.5	2.6	4.6	4.1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate	3.2	2.9	3.1	2.3	2.3	2.3	0.8	1.0	0.6	0.5	-0.5	-0.2	1.2	2.7	0.6	0.4	0.7	0.7	-	-	1.2	1.2	-	-	-	1.2
Enterprise creation	-6.5	-6.4	-6.8	-7.5	-7.5	-7.5	-1.5	-1.7	-1.7	-1.5	-1.1	-2.7	-1.4	-1.6	-2.1	-1.7	-1.9	-1.9	-1.9	-1.9	-1.9	-1.9	-1.9	-1.9	-1.9	-1.9
adjustment	4.0	-4.5	-1.2	0.2	-0.2	0.4	-3.4	0.4	-0.5	-1.0	-2.2	1.0	-3.0	3.0	-	0.1	0.1	0.1	-0.1	-0.1	-0.1	0.1	0.1	0.1	0.1	0.1
Total	44.5	76.4	136.7	118.0	138.0	165.0	26.2	12.1	20.7	17.3	10.0	29.1	35.4	45.5	23.5	32.3	30.8	31.3	30.5	35.2	35.3	37.1	36.9	41.8	42.6	43.7
Extraordinary Profit	1.3	11.6	4.5	1.1	3.0	3.0	2.2	9.5	0.2	0.2	2.4	1.6	0.1	0.1	1.1	-	-	-	1.5	1.5	-	-	1.5	-	-	-
Extraordinary Loss	-7.3	-7.3	-23.7	-	-	-	-0.7	-1.8	-1.6	-3.3	-20.3	0.1	-0.9	-2.6	1.1	-1.1	-	-	-	-	-	-	-	-	-	-
Pretax Income	38.5	80.8	117.5	117.3	141.0	168.0	27.8	20.0	19.4	13.7	-7.9	30.7	34.6	60.1	24.0	31.2	30.8	31.3	32.0	36.7	35.3	37.1	38.4	43.3	42.6	43.7
Corp./Residence Tax	-11.7	-13.3	-23.2	-27.4	-30.5	-36.7	-4.8	-4.2	-4.3	0.0	2.5	-4.8	-4.2	-16.7	-7.6	-6.5	-6.6	-6.7	-6.9	-8.0	-7.6	-8.0	-8.3	-9.5	-9.3	-9.6
Noncontrolling interests	-0.9	-2.8	-3.0	-3.0	-3.6	-4.3	-0.9	-0.8	0.0	-1.2	0.6	-2.0	-0.4	-1.1	-0.4	-1.1	-0.8	-0.8	-0.9	-0.9	-0.9	-0.9	-1.1	-1.1	-1.1	-1.1
Net Income	26.0	64.7	91.3	87.8	106.9	127.0	22.1	14.9	15.1	12.5	-6.0	25.0	30.0	42.2	16.8	23.6	23.5	23.9	24.2	27.8	26.8	28.1	28.9	32.8	32.2	33.1
% of Sales	4.0%	9.1%	12.0%	9.7%	11.1%	12.3%	13.0%	8.4%	8.5%	6.7%	-3.5%	12.8%	16.9%	19.5%	8.3%	10.5%	9.8%	10.1%	10.5%	11.8%	10.8%	11.4%	11.8%	12.8%	12.1%	12.5%

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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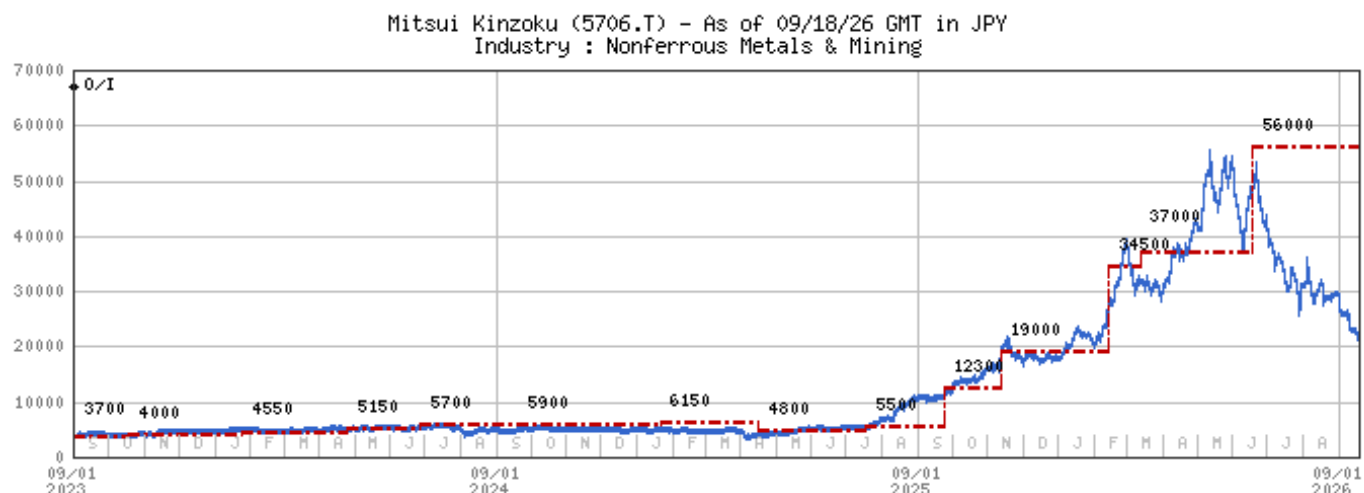
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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 9/1/21 : 0/I

Price Target History: 6/29/21 : 3800; 9/7/21 : 4700; 12/14/21 : 4150; 3/28/22 : 4500; 7/1/22 : 4100; 9/16/22 : 3900; 12/27/22 : 3800; 6/13/23 : 3700; 10/19/23 : 4000; 1/25/24 : 4550; 4/25/24 : 5150; 6/27/24 : 5700; 9/20/24 : 5900; 1/21/25 : 6150; 4/16/25 : 4800; 7/18/25 : 5500; 9/24/25 : 12300; 11/12/25 : 19000; 2/14/26 : 34500; 3/13/26 : 37000; 6/18/26 : 56000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Nonferrous Metals & Mining

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/17/2026)
Yu Shirakawa		
DOWA Holdings (5714.T)	E (02/11/2026)	¥8,926
JX Advanced Metals (5016.T)	E (04/21/2025)	¥3,500
Mitsubishi Materials (5711.T)	++	¥5,019
Mitsui Kinzoku (5706.T)	O (04/13/2018)	¥21,235
Nippon Light Metal Holdings (5703.T)	E (06/13/2023)	¥3,015
Sumitomo Metal Mining (5713.T)	E (04/16/2025)	¥9,328
UACJ (5741.T)	E (03/16/2026)	¥2,225

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.